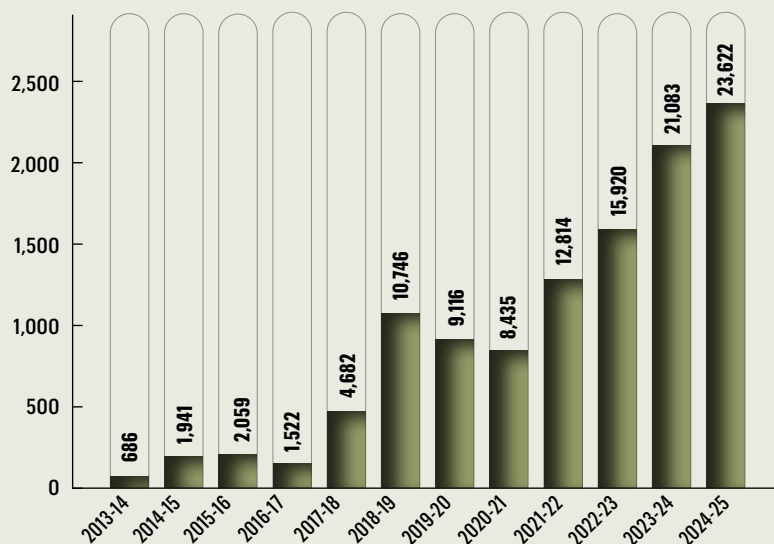


CONQUERING THE WORLD

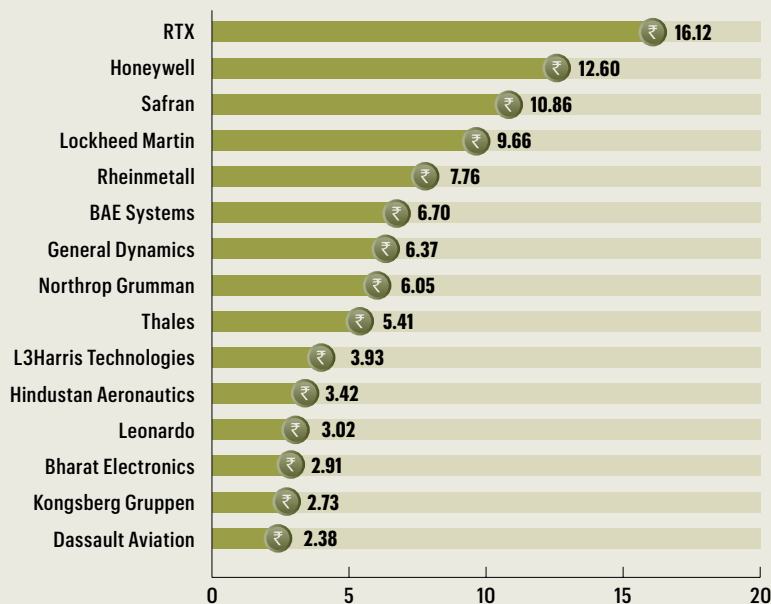
- Defence exports up 34 times since FY14
- Target is ₹ 50,000 crore by 2029



SOURCE PIB **NOTE** FIGURES IN ₹CR

THE BIG BOYS

- Two Indian firms in top 15 defence players by market cap



SOURCE COMPANIESMARKETCAP.COM

NOTE DATA AS ON JUNE 10, 2025; MARKET CAP (IN ₹ LAKH CRORE)

(AMCA) instead of handing the project to Hindustan Aeronautics Ltd. The AMCA, a fifth-generation stealth fighter being developed by Aeronautical Development Agency, is more advanced than the Rafale jets. The first prototype is expected by 2027.

ROLE OF R&D

The DRDO has also been instrumental in driving indigenisation in defence manufacturing. “The DRDO is sharing technology liberally with the private sector and entering into development-cum-production partnerships with them,” says S. Samuel C. Rajiv, research fellow at Manohar Parrikar Institute for Defence Studies and Analyses (MP-IDSA). Such partnerships have led to the emergence of a vibrant ecosystem. At present, over 16,000 MSMEs make components, modules and subsystems for the 16 defence PSUs and more than 430 licensed defence companies. DRDO Chairman Samir V. Kamat has assured continued partnership with industry “to make India a leading R&D (research and development) country where people look to us for innovation in defence technology.”

However, the R&D on defence needs to rise. The government spends about 5% of the defence budget on R&D. This might rise to 10% in the next five years. The R&D spending of the private sector is abysmally low, and not just in defence. Some estimate that Indian industry spends less than 1% of its revenues on R&D. Society of Indian Defence Manufacturers (SIDM) President Rajinder Singh Bhatia acknowledges that self-reliance will require filling technology gaps and adopting the ‘whole of nation’ approach. . “While most of the gaps could be filled by domestic R&D, some others would require for-